FROM THE
EDITOR-IN-CHIEF

There is an unsettling resemblance between the brief trajectory of the ill-fated Dreamliner at Ahmedabad and the broader corporate narrative surrounding it. A grand arc of ambition, a sudden and unexplained loss of thrust, and then, images of devastation. In the case of AI 171, the Air India flight bound for London Gatwick on June 12, the worst imaginable outcome became reality. One of the most catastrophic crashes in India's aviation history, it claimed the lives of all but one of the 242 people on board and at least 19 on the ground. It has become emblematic of Air India's (AI) current condition. The Tata-owned airline's attempt to reclaim its stature as India's pioneering carrier is now viewed as faltering. Its internal operations are under scrutiny. Its reputation is severely damaged. Tata Sons chairman N. Chandrasekaran described it as one of the "darkest days in the Tata Group's history". The immediate consequences, delays and cancellations that have stretched into July, will eventually subside. But dispelling the shadow of doubt that now follows AI will require more than stopgap measures. What is needed is long-term institutional repair. Among the burdens dragging the airline down are its inherited public sector liabilities, an ageing fleet, a shortage of pilots, weak punctuality and performance metrics, and critical gaps in maintenance infrastructure.

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Start with the finances. There are some encouraging signs. The management has stated that the losses in FY25 have reduced by an impressive 40 per cent from the FY22 low point of Rs 9,591 crore. Perhaps the need to eliminate that deficit quietly influences every decision the airline makes. It is an unenviable position to be in a low-margin, high-risk business. Even 42 months after the Tata takeover in January 2022, some continue to question the wisdom of acquiring a heavily loss-making airline. "You are taking on an old, sick company. Aviation is a high-risk business with margins of just 1 to 3 per cent due to intense competition," says one aviation analyst. The subtext is clear: constant cost-cutting is inevitable, but there is a danger that safety or service standards will suffer.

The ageing fleet is another legacy problem. AI operates significantly older aircraft than its competitors, including rival IndiGo. About 35 per cent of its 199 planes are more than a decade old; 43 are over 15 years old. Many of its Dreamliners are around 10-11 years old; the one involved in the Ahmedabad crash was nearly 12 years old. AI is indeed engaged in a historic fleet renewal alongside other carriers. In 2023, it placed firm orders for 470 new aircraft, encompassing both wide-body and narrow-body categories. Still, the full deployment of these will stretch to 2030. Additional orders with Boeing and Airbus could bring in another 170 planes, but only by 2035.

And who will fly them? AI needs 5,970 new pilots to meet its projected growth. As of early 2025, the company had approximately 3,280 active pilots, comprising a mix of veterans and recruits. This pool is already thin, evident in its reliance on foreign pilots. Last year, 58 foreign pilots were brought in to operate leased Boeing 777s due to a shortage of type-rated Indian captains. In contrast, IndiGo has a significantly larger pilot base of 5,463, nearly all of whom are Indian. Integration issues with Vistara have added turbulence, with staff discontent over pay cuts. The result is a cockpit crew that lacks cohesion.

From a safety perspective, understaffing has a direct impact on alertness and performance. The Directorate General of Civil Aviation's June 20 notice to AI, highlighting "systemic failures in scheduling protocol and oversights", was a warning bell on growing concerns around pilot fatigue and morale. A review of AI flights between January and May 2025 also shows that nearly a quarter failed to run on time. Maintenance, too, is mired in transitional inefficiencies, handled partly in-house, partly outsourced, and partly by an ageing PSU auxiliary.

In our cover story this week, Managing Editor M.G. Arun and Associate Editor Avishek Ghosh Dastidar prise open a troubling corporate black box. The irony is striking: this dissection comes just after AI's largest media campaign since returning to Tata control. Founded in 1932 by J.R.D. Tata, Air India was nationalised in 1953, a move long viewed as an injustice to the founding family. Its return to Tata's hands was celebrated as poetic justice. But if it was also meant to signal the arrival of best-in-class corporate governance, the airline still has a long way to go before that promise takes flight. However, the opportunity to become an internationally respected airline is immense and the Tatas have the capability to make it the pride of India.

(Aroon Purie)